

E-Commerce Marketing & LTV Analytics

Did higher marketing investment translate into sustainable, efficient growth?

APEX GEAR CO. | JAN-JUN 2026 MARKETING SCALING REVIEW

Baseline: Jul-Dec 2025 • Scaling: Jan-Jun 2026

Spend scaled faster than sales

AD SPEND

+253%

\$199K → \$704K

NET SALES

+23%

\$921K → \$1.14M

Incremental Marketing Profit

-\$372K

-89%

BLENDED MER

4.62x → 1.62x

-65%

BLENDED ROAS

4.37x → 1.69x

-61%

EXECUTIVE TAKEAWAY

Revenue grew, but not in proportion to the additional paid media investment. The observed efficiency decline supports reassessing maintaining scaled marketing spend.

Reassess Marketing Spend and Channel Allocation; Audit Campaign-Level Acquisition & Incrementality.

Study scope & business question

BASELINE PERIOD

Jul–Dec 2025

Reference period

SCALING PERIOD

Jan–Jun 2026

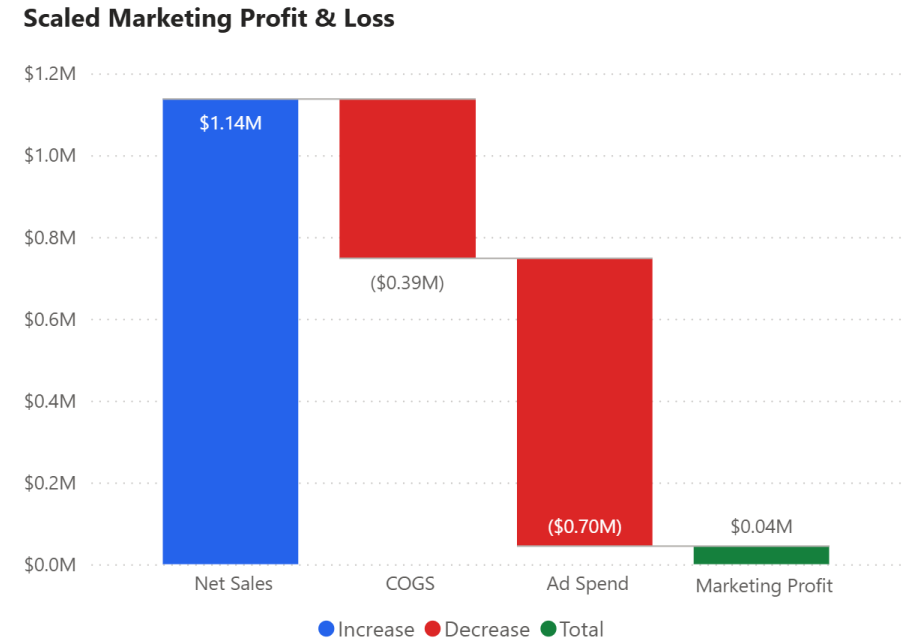
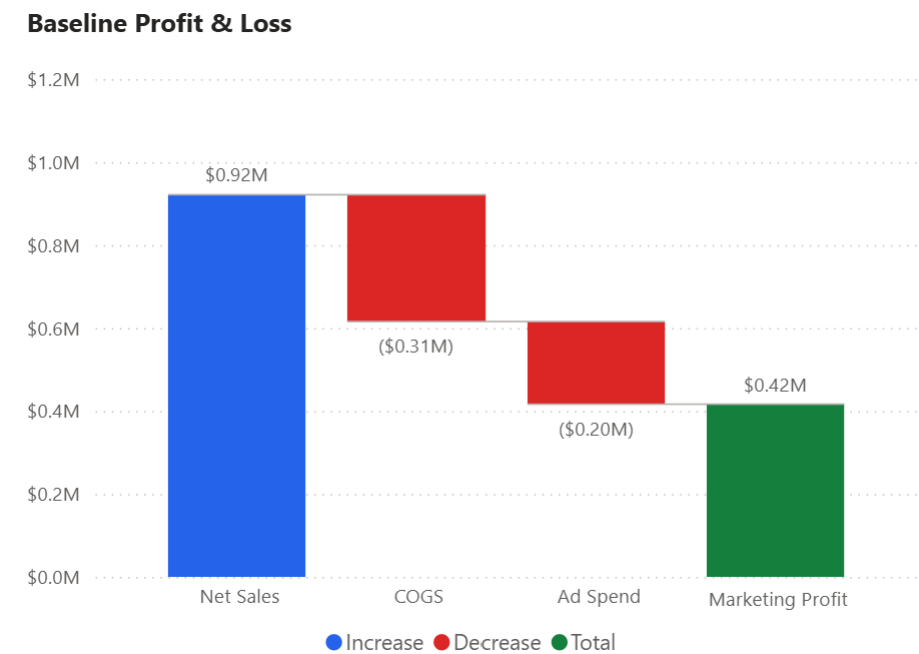
Higher marketing investment

THE QUESTION

Did a significant increase in marketing investment translate into sustainable revenue growth, efficient acquisition, and long-term customer value?

Power BI analysis combines Shopify sales, ad-platform performance, and GA4 web traffic.

Net sales grew—but marketing profit decreased



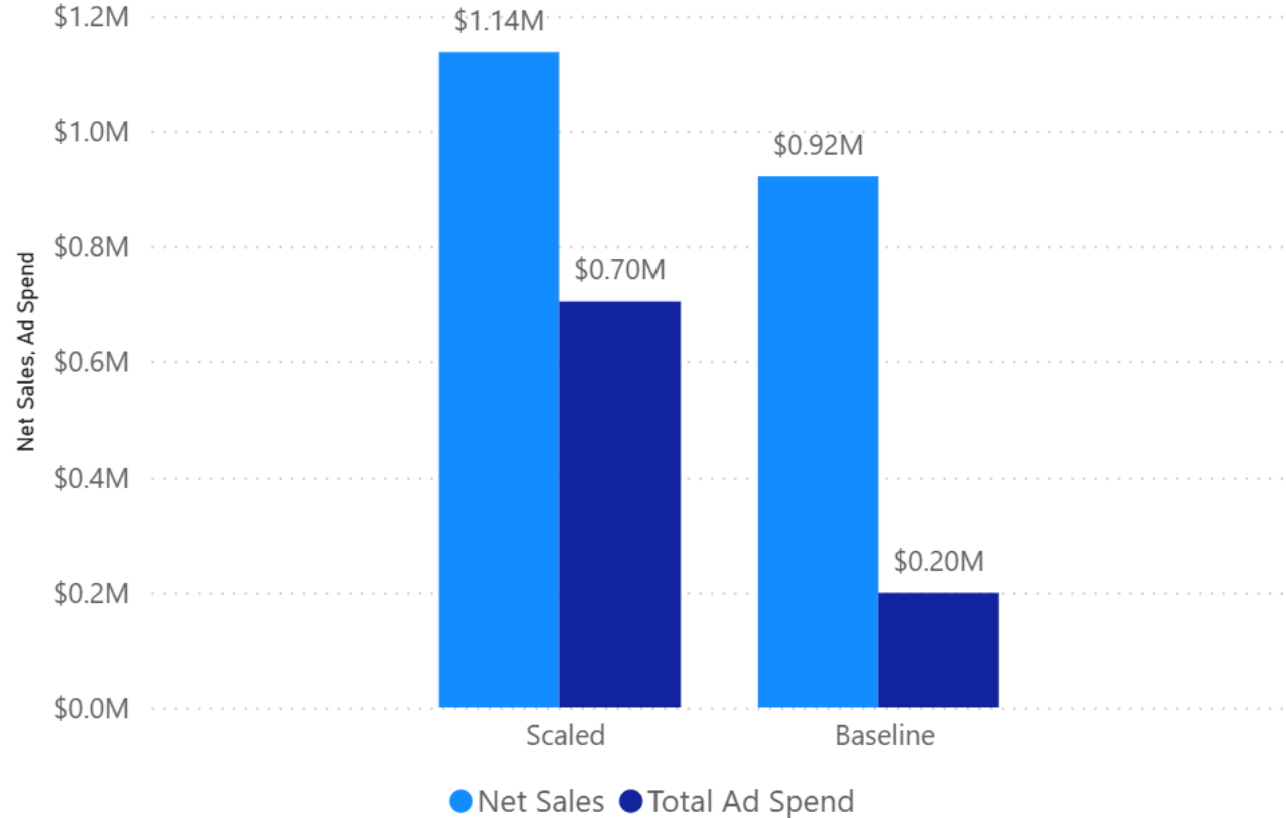
-\$372K Marketing Profit

Marketing Profit: \$416K → \$44K (-89%)

Net Sales increased +23%

Ad Spend increased +253%

Revenue grew—but marketing efficiency deteriorated



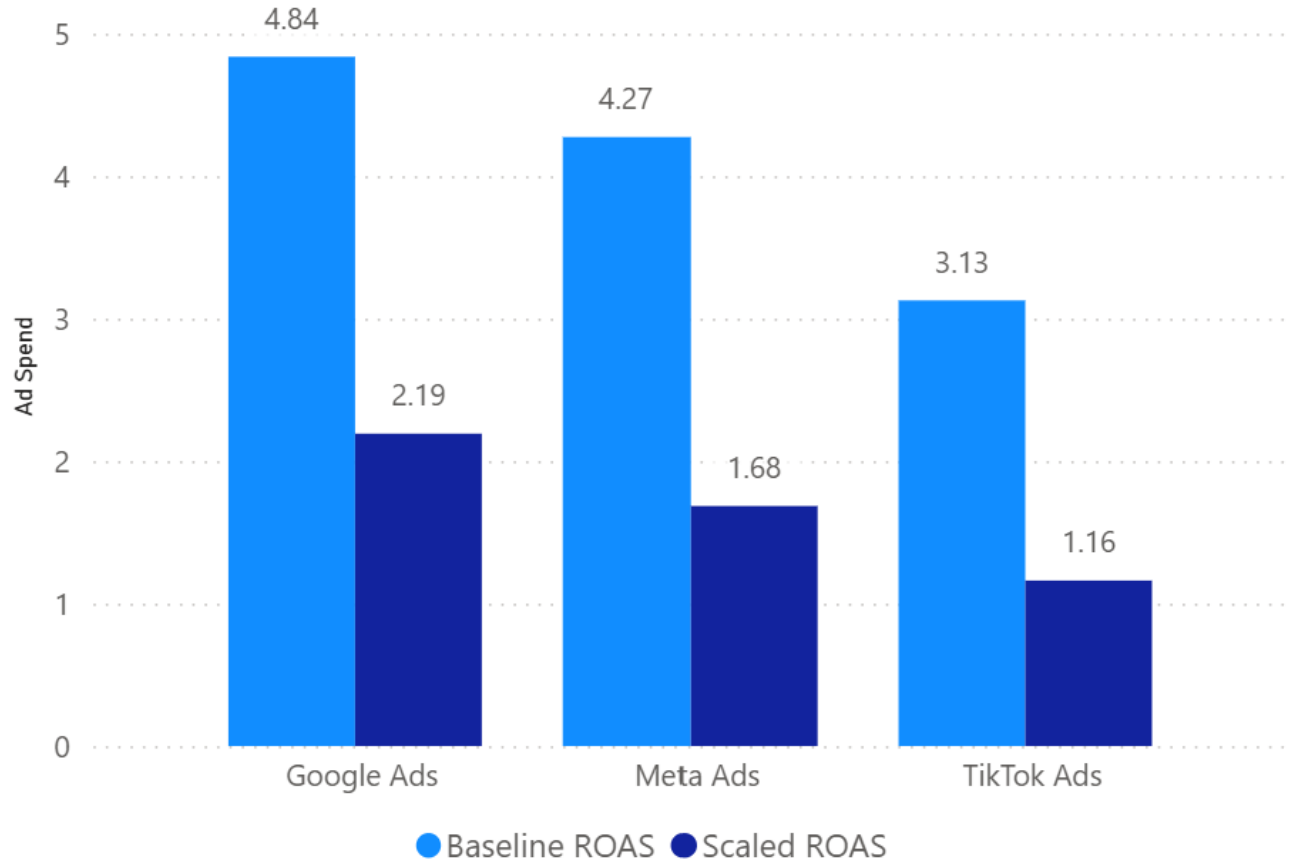
EFFICIENCY FELL SHARPLY

MER: 4.62x → 1.62x

Blended ROAS: 4.37x → 1.69x

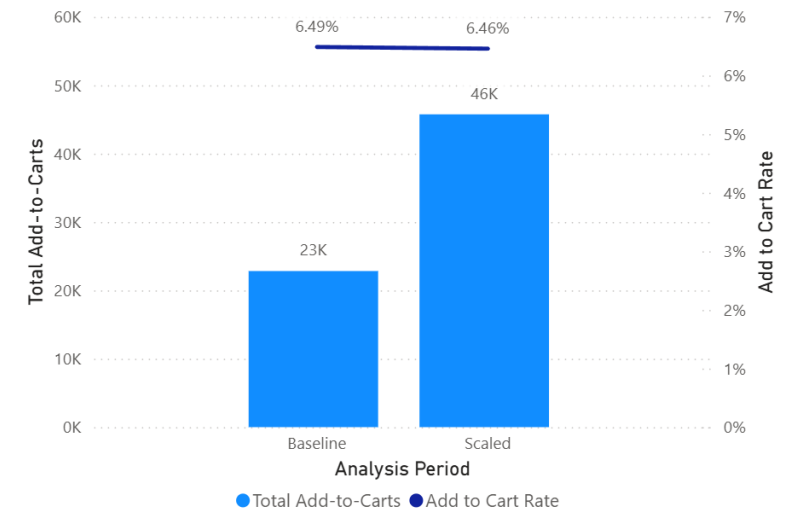
**Spend rose ~3.5x; Net Sales rose ~1.2x.
More investment coincided with lower
reported revenue efficiency.**

ROAS declined across all three platforms



Blended ROAS: 4.37x → 1.69x (-61%)

- Google Ads: 4.84x → 2.19x (-55%)
- Meta: 4.27x → 1.68x (-61%)
- TikTok: 3.13x → 1.16x (-63%)
- ATC rates stayed broadly stable; they did not offset the ROAS decline.



More engagement did not close the efficiency gap

TRAFFIC & ATC

~2x volume

ATC rates broadly stable

ATTRIBUTION MATCH RATE

94% → 101%

Platform-reported revenue > store Gross Sales

WHAT THIS MEANS

Higher traffic and Add-to-Cart activity did not produce proportional efficiency gains. A match rate above 100% is a diagnostic signal of possible attribution overlap or reporting differences—not proof of incremental revenue.

Customer cohort results are directional—not validated retention

SCALING PURCHASES

~99%

Classified as returning*

CLASSIFIED AS NEW

12

First-observed-order logic

DATA LIMITATION

Incomplete

Pre-baseline history

- Observed pattern: most scaling-period purchases were classified as returning.
- Not established: true acquisition volume, validated retention, loyalty, or complete customer LTV.
- Next step: validate first-purchase dates and rebuild cohorts using fuller customer history.

*Under the available first-observed-order classification.

Reassess scaling strategy

Current investment is not delivering revenue growth proportionate to spend.

01 ACT NOW

Reassess Marketing Spend

Reassess further budget increases rather than continuing to scale at the same pace by default.

02 REFINE

Audit campaigns & ads, and customer retention

Determine channel and campaign level budget allocation by analyzing campaign- and ad-level spend, reported revenue, and ROAS. Examine new-customer conversions and acquisition cost and customer retention.

03 VALIDATE

Measure incremental value

Where feasible, test lift/holdouts; improve customer history and contribution-margin visibility.

Turn the findings into a focused action plan

1 RIGHT-SIZE SPEND

Reassess paid media from scaling-period levels; monitor Net Sales, MER, ROAS, and acquisition.

2 DIAGNOSE CAMPAIGNS

Analyze campaign/ad spend, reported revenue, and ROAS.

3 VALIDATE GROWTH QUALITY

Audit customer history, new-customer definitions, attribution overlap, and margin inputs.

4 TEST BEFORE RESCALING

Use lift tests where feasible; restore spend only when performance demonstrates sustainable improvement.

Decision-ready insights—with transparent limitations

POWER BI MODEL

3 fact tables + 4 shared dimensions

Sales • Marketing • Web traffic

Executive, channel, and customer/product views

INTERPRETATION GUARDRAILS

Period comparison is descriptive—not causal. Platform attribution may overlap; customer history is limited to the data time periods; Marketing Profit excludes other business costs.

BOTTOM LINE

Sustainable growth requires understanding not just how much revenue marketing reports, but how much additional customer value it creates—and at what economic cost.

Questions